January 2013 Paper 02

Section I (Compulsory)

Question 1

1(a)(i) Definition of enterprise

Define the term 'enterprise'. (2 marks)

Enterprise is the willingness and ability of an entrepreneur to take risks, organise the other factors of production (land, labour and capital) and to start and run a business in the hope of making a profit.

1(a)(ii) Stakeholders of a business

Identify FOUR stakeholders of a business. (4 marks)

- The owners or shareholders of the business.
- The employees who work for the business.
- The customers who buy the goods or services.
- The government, suppliers and the wider community in which the business operates.

1(b) Reasons individuals start their own business

State FOUR reasons why individuals start their own business. (4 marks)

- To be their own boss and have the freedom to make their own decisions.
- To earn a higher income by keeping the profits of the business.
- To turn a hobby, talent or skill into a paying activity.
- To create employment for themselves and members of their family or community.

1(c) How businesses contribute to community development

Outline TWO ways in which businesses contribute to the development of their communities. (4 marks)

Provision of jobs and goods

Businesses hire local workers and provide them with wages and salaries that support their families. They also supply goods and services that members of the community need, often within easy reach of their homes.

Sponsorship and support of community activities

Many businesses sponsor sports teams, give scholarships, donate to schools and clinics and help with clean-up campaigns. These activities improve the quality of life of residents and help the community to develop in areas that government cannot reach alone.

1(d) Co-operative vs company

Distinguish between a 'co-operative' and a 'company' and give ONE example of EACH. (6 marks)

Co-operative

A co-operative is a business owned and controlled by its members, who share a common need or interest. The members buy shares, but each member has only one vote no matter how many shares are held, and any surplus is shared among members or used to improve the co-operative. The main aim is to serve the members rather than to maximise profit. An example is a credit union or a farmers' co-operative.

Company

A company is a business owned by shareholders who buy shares in the company. The number of votes a shareholder has at meetings depends on the number of shares held, and the main aim is to earn profit for the shareholders, paid out as dividends. The company is a separate legal person from its owners and the shareholders enjoy limited liability. An example is a private limited company such as a small family-owned firm, or a public limited company such as a bank listed on the stock exchange.

Question 2

2(a)(i) Organisational chart

'We Market For You' is a business that provides marketing services to the public. The business is headed by a general manager. There are also two supervisors, one for marketing and one for finance. There is one administrative assistant who assists the general manager and the two supervisors. Draw an organizational chart for 'We Market for You'. (4 marks)

The organisational chart for 'We Market For You' is as follows. At the top is the General Manager. Reporting directly to the General Manager are two Supervisors, side by side: the Marketing Supervisor on the left and the Finance Supervisor on the right. The Administrative Assistant is shown to the side of the General Manager (linked by a dotted line) because the Assistant supports the General Manager and both Supervisors.

- Top level: General Manager.
- Middle level (reporting to General Manager): Marketing Supervisor and Finance Supervisor.
- Support staff (linked to General Manager and both Supervisors): Administrative Assistant.

2(a)(ii) Functions of the general manager

Identify TWO functions of the general manager. (2 marks)

- Planning and setting the overall goals and policies of the business.
- Coordinating and supervising the work of the marketing and finance supervisors and ensuring that the business runs smoothly.

2(b) Sources of conflict within an organisation

Describe TWO possible sources of conflict within an organization. (4 marks)

Disagreements over wages, work hours and working conditions

Workers usually want higher wages, shorter hours and better conditions, while management wants to

control costs. When the two sides cannot agree, conflict arises in the form of grievances, slowdowns or strikes.

Personality clashes and unclear roles

Conflict can also come from differences in personality, poor communication or unclear job descriptions. When two workers have to share the same task without knowing who is responsible, or when one feels that another is being favoured by management, tension and arguments quickly develop.

2(c) Benefits of teamwork

Outline TWO benefits of teamwork to a business. (4 marks)

Better ideas and faster problem-solving

When workers join their skills and experience as a team, they can come up with more ideas and find solutions to problems faster than one person working alone. This leads to better decisions and to new and more creative ways of doing things.

Higher motivation and productivity

Working as a team makes workers feel valued and supported, which raises their morale. Team members encourage one another, share the workload and cover for each other when needed, so output rises and the quality of work improves.

2(d) Communication methods

Discuss ONE way in which 'We Market For You' can use EACH of the following methods to communicate with employees: (i) Text messages; (ii) Office memos. (6 marks)

(d)(i) Text messages

'We Market For You' can use text messages to send short, urgent information to employees who are away from the office, such as marketing staff who visit clients. For example, the General Manager can send a text to remind staff of an early-morning meeting, to inform them of a change in a client's schedule or to confirm that an important payment has been received. Because almost everyone carries a mobile phone, text messages reach employees within seconds, no matter where they are. This makes the business more responsive to clients and helps it to take advantage of opportunities quickly.

(d)(ii) Office memos

Office memos are short written notes that are passed within the business to inform staff about company matters. 'We Market For You' can use a memo, for example, to announce a new pricing policy for marketing services, to invite all staff to a training session or to remind staff of safety rules. Because the memo is written, every employee receives the same exact message and can refer back to it later if needed. This reduces the risk of misunderstanding and provides a written record of important instructions inside the office.

Question 3

3(a) Characteristics of a good salesperson

To succeed in business, firms must be conscious of their pricing and selling techniques. State FOUR characteristics of a good salesperson. (4 marks)

- Good knowledge of the product, including its features, benefits and how it compares with rival products.
- Good communication skills, with a clear voice, polite manner and the ability to listen to customers.
- A neat and pleasant appearance that gives a good first impression to customers.
- Honesty, patience and a positive attitude that helps to build trust and handle objections from customers.

3(b) Pricing techniques

Explain the following pricing techniques used by firms to increase sales. (i) Cost plus pricing; (ii) Penetration pricing. (4 marks)

(b)(i) Cost plus pricing

Cost plus pricing is a method in which the firm calculates the total cost of producing one unit of the product and then adds a fixed mark-up or percentage to obtain the selling price. For example, if it costs $50 to produce an item and the firm wants a 40 per cent mark-up, the selling price will be $70. This method is simple to use and ensures that all costs are covered and a profit is made on every sale.

(b)(ii) Penetration pricing

Penetration pricing is a method in which the firm sets a low price when launching a new product so that it can quickly attract customers and gain a large share of the market. Once the product is well known and many customers are buying it, the firm gradually raises the price closer to the level of competitors. This technique is useful for breaking into a market where there are already many similar products.

3(c) Terms of sales

Define EACH of the following terms of sales: (i) Cash discount; (ii) Trade discount; (iii) Hire purchase. (6 marks)

(c)(i) Cash discount

A cash discount is a small reduction in the price of goods given by a seller to a buyer who pays in cash or who pays the bill within an agreed short period of time. For example, a supplier may offer a 5 per cent discount if the buyer pays within 14 days, in order to encourage prompt payment.

(c)(ii) Trade discount

A trade discount is a reduction in the listed price of goods given by a manufacturer or wholesaler to another business such as a retailer that buys in large quantities for resale. The discount allows the retailer to add a profit margin and still sell at a competitive price to the final customer.

(c)(iii) Hire purchase

Hire purchase is a system of buying goods in which the buyer pays a deposit and then takes possession of the goods, with the rest of the price paid in agreed instalments over a period of time. The buyer becomes the legal owner only after the final instalment has been paid, and the seller can take back the goods if the buyer fails to keep up with the payments.

3(d) Justifying methods of selling insurance

Justify the use of EACH of the following methods as a means of increasing the sales of insurance products: (i) Personal selling; (ii) Advertising. (3 marks; 3 marks)

(d)(i) Personal selling

Personal selling is a strong method for insurance products because insurance is a complex service that customers do not fully understand. A trained salesperson can sit with the customer, explain how the policy works, answer questions and tailor the cover to the customer's needs and budget. Because the customer feels that he or she is getting personal attention and trustworthy advice, it is much easier to close the sale and build a long-term relationship with the customer.

(d)(ii) Advertising

Advertising is also useful for insurance because it reaches large numbers of people quickly through television, radio, newspapers and social media. Advertisements can highlight events such as accidents, illness or death and remind people of the need to protect themselves and their families. Once the public has been made aware of the insurance company and its products through advertising, customers are more willing to listen to a personal sales presentation, so the two methods work well together to increase sales.

Section II - Answer EITHER Question 4 OR Question 5

Question 4

4(a) Factors determining location

Ravi is a sole trader. He wants to expand the production of his special ice cream to two more outlets to meet the increase in demand. Identify FOUR factors that would determine where Ravi locates his business. (4 marks)

- Closeness to a large number of customers, such as a busy shopping area or main road.
- The cost of rent, taxes and utilities at the chosen site compared with what the business can afford.
- The availability of reliable electricity and water supply, which are needed to run freezers and ice cream machines.
- Closeness to suppliers of raw materials such as milk, sugar and fruit, and ease of transport for deliveries.

4(b) Backward and forward linkages

Explain how Ravi could use the following types of linkages with other businesses to ensure further growth of his business: (i) backward; (ii) forward. (4 marks)

(b)(i) Backward linkage

A backward linkage is a connection with a business that supplies inputs to Ravi. Ravi could form a backward linkage with local dairy farmers and fruit growers, who would supply him with milk, cream and fresh fruit at agreed prices. By securing a steady supply of good quality raw materials at a fair price, Ravi can keep his production going without delay and improve the quality of his ice cream, which supports growth.

(b)(ii) Forward linkage

A forward linkage is a connection with a business that buys Ravi's output to sell to its own customers. Ravi could supply his ice cream wholesale to supermarkets, restaurants and hotels, which would resell it to their customers. This forward linkage gives Ravi access to a much wider market than his own outlets and increases his sales without him having to open many new shops.

4(c) Advantages and disadvantage of technology

Outline TWO advantages and ONE disadvantage of Ravi using technology to produce his product. (6 marks)

Advantage 1: Faster production and higher output

Modern ice cream machines can mix, freeze and pack ice cream much faster than would be possible by hand. This means that Ravi can produce more ice cream in the same time and meet the higher demand from his new outlets without having to hire many extra workers.

Advantage 2: Better quality and consistency

Computer-controlled equipment ensures that the temperature, mixing time and ingredients are always the same. As a result, every batch of ice cream tastes the same and is of the same high quality, which builds trust with customers and protects the brand.

Disadvantage: High cost of buying and maintaining equipment

Modern machines are expensive to buy and have to be regularly serviced, repaired and eventually replaced. If sales fall or break down, Ravi could find it hard to recover this large investment, and the costs would eat into his profit.

4(d) Effects of business expansion

Discuss ONE positive effect and ONE negative effect of Ravi expanding his business. (6 marks)

Positive effect: Higher sales, profits and economies of scale

By expanding to two more outlets, Ravi can serve customers in new areas and greatly increase his total sales and profits. As output rises, he can buy raw materials in larger quantities at lower prices and spread fixed costs such as rent of the main factory over more units of output. The benefits of these economies of scale lower the cost per litre of ice cream and improve the overall profitability of the business.

Negative effect: Loss of personal control and higher running costs

When Ravi has only one outlet he can supervise everything personally, but with three outlets he must depend on managers and workers, some of whom may not work as carefully or honestly as he does. The business will also face higher running costs in the form of rent, wages, electricity and transport. If sales at

the new outlets do not grow as expected, the higher costs and weaker control could lead to losses and damage Ravi's brand.

Question 5

5(a) Target market

Shiva has done market research on her special sunblock face creams. The survey showed that 50 per cent of her sample is willing to purchase her product. Define the term 'target market' and give TWO examples of the LIKELY target market for sunblock face creams. (4 marks)

A target market is the specific group of customers that a business has identified as the main buyers of its product, and at which all of its marketing efforts are aimed. Two examples of the likely target market for sunblock face creams are:

- Adults, especially women aged about 18 to 50, who are concerned about skin care and protecting their faces from the sun.
- Tourists and outdoor workers, such as people who go to the beach, fishermen, farmers and construction workers, who spend long hours in strong sunlight.

5(b) Factors influencing demand for sunblock

Describe THREE factors that are LIKELY to influence consumers' demand for sunblock face creams. (6 marks)

Price of the product

If the sunblock cream is priced too high, many customers will not be able to afford it and will buy a cheaper brand or go without. A fair price that matches the size of the package and the quality of the cream will encourage more customers to buy it regularly.

Income of the consumers

Consumers with higher incomes are willing to spend more on personal care items such as sunblock cream. As incomes rise, more consumers can afford branded sunblock and will buy it more often. In a recession, however, consumers may cut back and treat sunblock as a luxury.

Awareness of the dangers of sun damage and effective advertising

When consumers know that strong sunlight can cause skin cancer, premature ageing and dark spots, they are more willing to buy sunblock for protection. Advertising and public health campaigns that highlight these risks and demonstrate the benefits of the product greatly increase demand.

5(c) Questionnaires and interviews

In carrying out her research, Shiva used questionnaires and conducted interviews. State ONE advantage and ONE disadvantage of EACH method. (4 marks)

(c)(i) Questionnaires

Advantage

Questionnaires can reach a large number of people in a short time and at a relatively low cost, especially

if they are sent by email or social media. Because all respondents answer the same questions, the results are easy to compare and analyse.

Disadvantage

Many people fail to return the questionnaires, and those who do may give short or untrue answers. Because there is no interviewer present, complicated questions cannot be explained, which can lower the quality of the information obtained.

(c)(ii) Interviews

Advantage

Interviews allow the researcher to ask follow-up questions, explain anything the respondent does not understand and observe body language. As a result, the information collected is usually deeper and more reliable than that from questionnaires.

Disadvantage

Interviews take a long time and are expensive because the researcher has to meet each person face to face or by phone. Only a small number of people can be reached, and the interviewer may unintentionally influence the respondent's answers.

5(d) Consumer protection agencies

Identify TWO consumer protection agencies and explain how EACH works to protect the interests of consumers. (6 marks)

Bureau of Standards

The Bureau of Standards sets and enforces national standards for the quality, safety and labelling of products such as foods, cosmetics and electrical items. It tests samples of goods, inspects factories and importers, and stops the sale of any item that does not meet the standards. By doing this, it protects consumers from buying unsafe, fake or poorly labelled products such as a sunblock cream that does not contain the active ingredients listed on the package.

Consumer Affairs Commission

The Consumer Affairs Commission educates the public about their rights as consumers and investigates complaints made against businesses. It helps consumers to receive refunds, replacements or compensation when they have been mistreated, and works with the government to improve consumer protection laws. This means that if a consumer is sold an expired or harmful sunblock cream, the Commission can step in to seek redress on behalf of that consumer.

Section III - Answer EITHER Question 6 OR Question 7

Question 6

6(a)(i) Other sources of government revenue

Apart from taxes, identify TWO other sources from which governments obtain revenue to perform their roles. (2 marks)

- Loans from local citizens (through bonds) and from foreign agencies such as the World Bank and the Inter-American Development Bank.
- Earnings from state-owned enterprises, licence fees, court fines and grants from foreign governments.

6(a)(ii) Uses of taxation

State TWO ways in which governments use the money collected from taxation. (2 marks)

- To pay the salaries of public sector workers such as teachers, nurses, police officers and civil servants.
- To build and maintain schools, hospitals, roads and other public infrastructure that benefit citizens and businesses.

6(a)(iii) Examples of direct and indirect taxes

List TWO examples of EACH of the following types of taxes: a) Direct (2 marks); b) Indirect (2 marks)

Direct taxes

- Personal income tax (PAYE).
- Company tax (corporation tax) on business profits.

Indirect taxes

- Value Added Tax (VAT) or General Consumption Tax (GCT).
- Customs duties on imported goods and excise duties on items such as alcohol and tobacco.

6(b)(i) Essential services

State TWO essential services for which governments are responsible. (2 marks)

- National security, including the police, army, fire service and coast guard.
- Public health and education services, including hospitals, clinics and free public schools.

6(b)(ii) Regulating business activities

Outline TWO ways in which governments in the Caribbean attempt to regulate business activities. (4 marks)

Passing and enforcing business laws

Caribbean governments pass laws covering the registration of companies, the labelling of goods, fair trade practices, health and safety at work, and the payment of taxes. Inspectors from departments such as Public Health, Customs and the Tax Office visit businesses to check that the laws are being followed and can fine or close down those that break them.

Issuing licences and permits

Many businesses cannot operate without first obtaining licences and permits, such as a trade licence, a food handler's permit, a liquor licence or a construction permit. By granting licences only to businesses

that meet certain standards, the government controls who can operate, in what area and under what conditions, which protects the public and ensures fair competition.

6(c) Effect of an increase in sales tax

Discuss ONE effect of an increase in sales tax on EACH of the following: (i) Households; (ii) Businesses. (6 marks)

(c)(i) Households

Reduction in the real spending power of households

An increase in sales tax raises the prices of most goods and services that households buy in shops. Because each dollar now buys fewer items, the real value of household income falls and families are forced to cut back on non-essential spending such as entertainment and clothing. Poor households are hardest hit, since they spend most of their income on taxed goods, which can lower their standard of living.

(c)(ii) Businesses

Lower sales and higher administrative costs

When sales tax goes up, the prices that customers pay rise, which causes many of them to buy less. Businesses therefore see a fall in sales volumes and may have to cut output and lay off workers. Firms also face extra paperwork to collect, record and pay over the higher tax to the government, which adds to their administrative costs and reduces their profits.

Question 7

7(a)(i) Definitions

Define EACH of the following terms: a) balance of payments (2 marks); b) balance of trade (2 marks)

Balance of payments

The balance of payments is a record of all the money flows between one country and the rest of the world over a period of time, usually one year. It includes payments for imports and exports of goods and services as well as flows of money for investment, loans and gifts.

Balance of trade

The balance of trade is the difference between the total value of a country's visible exports (goods sold to other countries) and the total value of its visible imports (goods bought from other countries) over a period of time.

7(a)(ii) Components of the balance of payments

Describe the following components of a country's balance of payments accounts: a) the current account; b) the capital account; c) the official financing. (6 marks)

Current account

The current account records all the day-to-day money flows between the country and the rest of the world arising from trade. It includes the value of exports and imports of goods (visibles), exports and imports of

services such as tourism and shipping (invisibles), and net income and transfers such as remittances and gifts.

Capital account

The capital account records the flow of long-term and short-term investment money into and out of the country. It includes foreign direct investment, the buying and selling of shares and bonds, and loans between countries. A country with a strong capital account is attracting more investment than it is sending abroad.

Official financing

Official financing shows how the central bank settles any overall surplus or deficit on the current and capital accounts. If the country has an overall deficit, the central bank uses its foreign reserves or borrows from bodies such as the IMF to make up the difference. If there is a surplus, the central bank adds to its foreign reserves.

7(b) Financing a balance of payments deficit

Outline TWO ways in which a country can finance a balance of payments deficit. (4 marks)

Using up foreign exchange reserves

The central bank can sell some of the foreign currency that it has built up in its reserves to pay for the extra imports. This works in the short term, but if the deficit continues, the reserves will eventually run out.

Borrowing from foreign sources

The country can borrow foreign currency from international institutions such as the International Monetary Fund (IMF) and the World Bank, or by issuing bonds on the international market. The borrowed money is used to pay for imports, but it must be repaid with interest.

7(c) Measures to deal with balance of payments problems

Discuss how a country might use EACH of the following measures to deal with balance of payments problems: (i) Devaluation; (ii) Import quotas. (3 marks; 3 marks)

(c)(i) Devaluation

Devaluation is when the government deliberately lowers the value of its currency in terms of foreign currencies. After devaluation, the country's exports become cheaper for foreigners and imports become more expensive for citizens. As a result, exports tend to rise and imports tend to fall, so the country earns more foreign exchange and spends less, which helps to reduce the balance of payments deficit.

(c)(ii) Import quotas

An import quota is a limit set by the government on the quantity of a particular good that may be brought into the country during a given period of time. By limiting how much can be imported, the government cuts the amount of foreign exchange spent on that good and gives local producers a chance to supply the rest of the demand. This reduces the import bill and improves the balance of payments.